AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2018

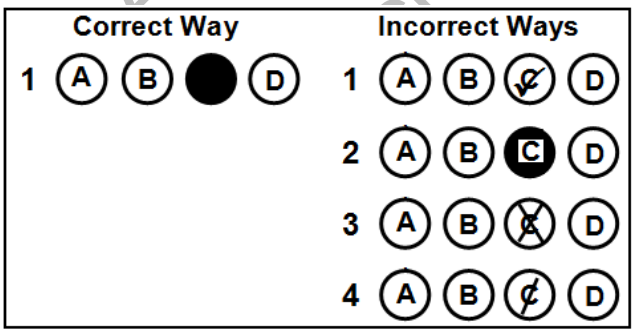
Principles of Accounting Paper I

Time: 40 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. An inexperienced accountant of Kiran Traders wrongly prepared the following capital account.

Capital

01.01.16	Balance b/d	130,000	30.06.16	Investment	50,000
30.09.16	Drawings	30,000	31.12.16	Balance c/d	230,000
		160,000			280,000

The CORRECT amount of net profit of Kiran Traders is

A. Rs 20,000
B. Rs 80,000
C. Rs 120,000
D. Rs 150,000

2. The following information is extracted from account records of a business.

Particulars	January 01, 2017	December 31, 2017
Trade receivables (accounts receivable)	Rs 25,000	Rs 50,000
Collection from debtors during the year		Rs 110,000
Sales return and allowances		Rs 30,000

From the given information, the net amount of credit sales for the year would be

A. Rs 55,000
B. Rs 115,000
C. Rs 165,000
D. Rs 190,000

3. Ejaz is an owner of a bakery. He does not maintain proper books of accounts. The following details have been provided by him.

Particulars	January 01, 2017	December 31, 2017
Assets	Rs 480,000	Increased by Rs 38,000
Liabilities	Rs 235,000	Decreased by Rs 23,000

The amount of capital of Ejaz as on December 31, 2017 will be

A. Rs 184,000
B. Rs 230,000
C. Rs 260,000
D. Rs 306,000

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4. Fahad Traders follows a single entry accounting system. Details of his business transactions are as under:

Particulars	Amount (Rs)
Credit purchases	120,000
Cash purchases	20,000
Purchases return	5,000
Discount received	3,000
Trade payables (accounts payable) January 01, 2016	28,000
Trade payables (accounts payable) December 31, 2016	32,000

The amount of cash paid to suppliers from the given information will be

A. Rs 68,000
B. Rs 108,000
C. Rs 128,000
D. Rs 148,000

5. Alpha Company offered 15,000 shares at par value of Rs 10, payable in full on application. Bank informed Alpha Company that 20,000 applications have been received. Company allotted the offered shares and refunded the excess.

The general journal entry for recording the amount to be refunded will be

	Particulars	P.R.	Debit	Credit
A	Ordinary share application		50,000	
	Bank			50,000
B	Ordinary share application		150,000	
	Ordinary share capital			150,000
C	Ordinary share application		200,000	
	Bank			200,000
D	Ordinary share application		200,000	
	Ordinary share capital			200,000

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6. The income statement of Ezzan Limited after first year of trading showed a net profit of Rs 150,000. The Directors decided to appropriate the profit in the following manner.

- Dividend on ordinary shares Rs 42,000
- Transferred to general reserve Rs 23,000

The amount of retained profit at the end of the year will be

A. Rs 85,000
B. Rs 108,000
C. Rs 127,000
D. Rs 131,000

7. The Directors of Base Limited provided the following information to the newly appointed accountant.

Particulars	Amount (Rs)
Sales revenue	1,420,000
Cost of sales	876,000
Operating expenses excluding tax	20% of gross profit
Tax	33,000

The amount of net profit for Base Limited calculated after tax deduction by the accountant will be

A. Rs 402,200
B. Rs 408,800
C. Rs 435,200
D. Rs 468,200

8. Following expenses were paid by Aliyan and Company.

- Cost of hiring employees Rs 3,500
- Legal cost of registration of company Rs 15,000
- Money paid for painting office building Rs 8,000
- Cost of printing, advertising and prospectus Rs 10,000
- Stamp duty on issuing shares and debentures Rs 7,000

The amount of preliminary expenses forwarded to the financial statement would be

A. Rs 18,500
B. Rs 25,000
C. Rs 32,000
D. Rs 43,500

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9. Which of the following is TRUE about provisions?

A. Increase in provision would reduce profit.
B. Decrease in provision would reduce profit.
C. Increase in provision would increase profit.
D. Decrease in provision would not affect profit.

10. Following details have been taken from the books of Shaheen Limited.

Particulars	**Amount (Rs)**
Retained earning (January 01, 2017)	880,000
Net profit for the year	160,000
Dividend declared for the year	80,000
Transferred to reserves	25,000

The amount of retained earning that will be shown in the statement of financial position (balance sheet) as on December 31, 2017 is

A. Rs 615,000
B. Rs 775,000
C. Rs 935,000
D. Rs 960,000

11. The Directors of Rumaisa Limited declared a cash dividend of Rs 138,000.

The general entry to record this decision will be

	Particulars	**P.R.**	**Debit**	**Credit**
A	Retained earning		138,000	
	Cash			138,000
B	Cash dividend payable		138,000	
	Cash			138,000
C	Cash dividend payable		138,000	
	Retained earning			138,000
D	Retained earning		138,000	
	Cash dividend payable			138,000

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12. Basit Limited is a glass manufacturing company. At the end of the year the company decided to give dividend of Rs 15,000 to its shareholders in the form of additional shares.

The general journal entry for the payment of dividend will be

	Particulars	P.R.	Debit	Credit
A	Retained earning		15,000	
	Stock dividend payable			15,000
B	Retained earning		15,000	
	Cash dividend payable			15,000
C	Stock dividend payable		15,000	
	Share capital			15,000
D	Cash dividend payable		15,000	
	Cash			15,000

13. The details of the motor vehicles of Paras Traders are given below.

Particulars	**Amount (Rs)**
Motor vehicle cost	900,000
Allowance for depreciation of motor vehicles as on December 31, 2015	450,000

Business depreciates motor vehicles at 20% by reducing balance method (diminishing balance method).

The net amount of the motor vehicles that will appear in statement of financial position (balance sheet) as on December 31, 2016 will be

A. Rs 90,000
B. Rs 180,000
C. Rs 360,000
D. Rs 540,000

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14. Alpha Limited is involved in the production of medicines. The following expenditures were incurred by the company on an old machine on January 01, 2018.

Particulars	Amount (Rs)
Fire insurance premium for three years	84,000
Replaced the old engine with a new engine resulting in an increase in production	238,000
Cleaning and maintenance cost	24,000

The amount that will be treated as capital expenditure by Alpha Limited is

A. Rs 84,000
B. Rs 108,000
C. Rs 238,000
D. Rs 262,000

15. Kareem Associates, in its books, has classified an item of revenue expenditure as capital expenditure.

As a result of the given error, the assets and net profit of Kareem Associates will be

	Assets	Net Profit
A	Overstated	Overstated
B	Overstated	Understated
C	Understated	Overstated
D	Understated	Understated

16. Basheer Sons wants to exchange an old computer with a new laptop to be used in its office. The details as on the day of exchange are as under:

Particulars	Amount (Rs)
Cost of computer	45,000
Cost of laptop	80,000
Accumulated depreciation on computer till the date of exchange	21,900
Trade in allowance of computer	18,500

The amount of cash to be paid by Basheer Sons at the time of exchange will be

A. Rs 3,400
B. Rs 4,600
C. Rs 58,100
D. Rs 61,500

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17. Shafay and Rafay decided to form a partnership business. They agreed to share profit and loss equally and brought the following items to the new firm.

Partner	Investment Brought		
Shafay	Car Rs 200,000	Cash Rs 180,000	Bank loan Rs 15,000
Rafay	Cash Rs 235,000	Furniture Rs 145,000	Bank overdraft Rs 25,000

The amount of capital that will appear in the equity section of the statement of financial position (balance sheet) of the firm will be

	Capital - Shafay	Capital - Rafay
A	Rs 365,000	Rs 355,000
B	Rs 365,000	Rs 405,000
C	Rs 395,000	Rs 355,000
D	Rs 395,000	Rs 405,000

18. Sonia and Sobia have agreed to merge their individual businesses and they agreed to share profit and loss equally. At the time of merger, the goodwill of each partner was valued as under:

- Goodwill of Sonia Rs 30,000
- Goodwill of Sobia Rs 10,000

The general entry that will appear in the books of the new firm will be

	Particulars	P.R.	Debit	Credit
A	Goodwill		40,000	
	Capital account - Sonia			20,000
	Capital account - Sobia			20,000
B	Capital account - Sonia		20,000	
	Capital account - Sobia		20,000	
	Goodwill			40,000
C	Goodwill		40,000	
	Capital account - Sonia			30,000
	Capital account - Sobia			10,000
D	Capital account - Sonia		30,000	
	Capital account - Sobia		10,000	
	Goodwill			40,000

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19. Waseem and Waqar are partners in a business with an investment of Rs 160,000 and Rs 240,000 respectively. They agreed to admit Shoaib as a new partner for 1/3 interest in the firm. Shoaib invested sufficient cash for his share.

The amount of investment of Shoaib will be

A. Rs 133,333
B. Rs 200,000
C. Rs 600,000
D. Rs 1,200,000

20. Kashif, Fahim and Akber were partners in a business with capital of Rs 120,000, Rs 180,000 and Rs 240,000 respectively. They share profit and loss on the basis of capital. On March 01, 2018, they decided to liquidate their business. At the time of liquidation, other assets were sold at a loss of Rs 135,000.

The amount payable to Akber on liquidation will be

A. Rs 105,000
B. Rs 180,000
C. Rs 240,000
D. Rs 300,000

21. Ameen and Basit share profit and loss in the ratio of 3/5 and 2/5 respectively with a capital balance of Rs 400,000 each. They decided to admit a new partner in the firm. At the time of revaluation, the book value of the total assets was Rs 60,000 which can be sold for Rs 40,000 only.

The amount of capital that will appear in the Ameen's capital account after revaluation is

A. Rs 388,000
B. Rs 392,000
C. Rs 400,000
D. Rs 440,000

22. Faryal, Meher and Madiha were partners in a firm. Madiha decided to retire from the firm. After the approval of the partners, she transferred her shares to her brother Hamza.

If they follow fluctuating capital method, then the general journal entry to record transfer of shares of Madiha will be

	Debit	Credit
A	Madiha's current account	Hamza's current account
B	Hamza's current account	Madiha's current account
C	Madiha's capital account	Hamza's capital account
D	Hamza's capital account	Madiha's capital account

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23. Rameez and Javed are equal partners and follow fixed capital method for recording capital. During the year Rameez withdrew goods worth Rs 17,300.

The general entry to record the drawings made by Rameez will be

	Particulars	P.R.	Debit	Credit
A	Merchandise		17,300	
	Drawings - Rameez			17,300
B	Drawings - Rameez		17,300	
	Merchandise			17,300
C	Capital account - Rameez		17,300	
	Profit and loss account			17,300
D	Current account - Rameez		17,300	
	Profit and loss account			17,300

Use the below information to answer Q. 24 and Q. 25.

Following information related to subscription account has been taken from the books of Faran Tennis Club as on December 31, 2017.

Particulars	Amount (Rs)
Subscription due as on January 01, 2017	5,000
Advance subscription as on January 01, 2017	17,000
Subscription due as on December 31, 2017	3,450
Advance subscription as on December 31, 2017	2,750
Subscription received during the year 2017	58,600

24. The amount of subscription that will appear in the income and expenditure account of Faran Tennis Club is

A. Rs 45,900
B. Rs 57,900
C. Rs 58,600
D. Rs 71,300

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25. In the statement of financial position (balance sheet) of Faran Tennis Club on December 31, 2017, the subscription will be shown as

	Current Assets	Current Liabilities
A	Advance subscription Rs 2,750	Subscription receivable Rs 3,450
B	Subscription receivable Rs 3,450	Advance subscription Rs 2,750
C	Subscription receivable Rs 3,450 Advance subscription Rs 2,750	---
D	---	Subscription receivable Rs 3,450 Advance subscription Rs 2,750

26. The receipt and payment account of Starland Club for the year ended September 30, 2015 is as follows;

Receipt and Payment Account

01.09.15	Balance B/d	2,500	05.09.15	Machine purchased	25,000
15.09.15	Subscription - 2014	1,500	10.09.15	Salaries to manager	3,000
20.09.15	Subscription - 2015	22,000	25.09.15	Printing and stationary	1,000
20.09.15	Donation	7,000	25.09.15	Fire insurance	2,500
			30.09.15	Balance c/d	1,500
		33,000			33,000

The total income transferred to 'Income and Expenditure Account' will be

A. Rs 8,500
B. Rs 23,500
C. Rs 29,000
D. Rs 30,500

27. Ashar Limited sold furniture costing Rs 330,000 and accumulated depreciation of Rs 135,000 at a loss of Rs 10,000.

The given disposal of furniture will be shown in the cash-flow statement as

	Operating Activity	Investing Activity
A	Loss of Rs 10,000	Sale of furniture Rs 185,000
B	Loss of Rs 10,000	Sale of furniture Rs 195,000
C	Sale of furniture Rs 185,000	Loss of Rs 10,000
D	Sale of furniture Rs 195,000	Loss of Rs 10,000

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28. The following comparative information has been taken from the accounting records of the Zia ud din Limited as on December 31, 2017.

Particulars	As on December 31, 2017	As on December 31, 2016
Net profit before interest and tax	Rs 128,300	Rs 115,650
Depreciation on non-current assets	Rs 9,600	Rs 7,200
Inventory	Rs 13,250	Rs 9,750
Trade payables (accounts payable)	Rs 14,900	Rs 12,400

The amount of cash flow from operating activities for the given data will be

A. Rs 131,900
B. Rs 136,900
C. Rs 138,900
D. Rs 143,900

29. Cash flow statement contains the following activities.

I. Operating activities
II. Investing activities
III. Financing activities

As per the format of cash flow statement, 'dividend paid' by company may be classified under

A. II only
B. III only
C. I and II
D. I and III

30. The equipment in a fitness club of NPO (Non-Profit Organization) is reflected in a statement of financial position as

A. current assets.
B. non-current assets.
C. long-term liability.
D. short-term liability.

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